

COOP Bank: FY'21 Earnings Note

COOP Bank FY'21 EPS edged up 43.94% to KES 2.85, well above our expectations . PAT came above our expectations by edging up 53.00% y/y to **KES 16.54Bn** driven by a 12.27% y/y increase in Total Operating income to **KES 60.43Bn** supported by interest income from loans and government securities. Customer deposits grew 7.68% to **KES 407.73Bn** while the loan book grew faster at 8.22% to **KES 310.20Bn,** both were above our expectations. Notably, Kingdom Bank also registered a PAT of **KES 497.79Mn** from a loss of **KES 10.18Mn** in FY'20 while the balance sheet expanded 2.2% y/y to **KES 31.69Bn.** Bancassurance (**KES 803.90Mn**) and Asset management business (**KES 140.40Mn**) were also profitable with the South Sudan subsidiary recording a **KES 421.70Mn** loss.

- **Opex reduction underpins efficiency improvement:** Cost to income ratio improved 821bps y/y to 49.91%, powered by the banks push for alternative channels with 94% of transactions happening outside the branch. The improvement was driven by a 12.27% y/y increase in Total Operating Income compared to an 3.32% decrease in Operating expenses to **KES 38.09Bn.** The bank continues to go against the industry wide impairment provisioning trend by reducing provisioning 2.25% y/y to **KES 6.04Bn,** much lower than most industry peers.

- **Non-Funded Income lifts margins:** Non Interest income was above our expectations having grown by 10.96% to **KES 19.40Bn** mainly driven by income from fees and commissions from the 5.3Mn registered Mobile wallet customers. Interest income grew faster at 13.94% y/y to **KES 55.64Bn** mainly on account of a 26.36% growth in interest from government securities, leading to an increase in Yield on earning assets to 11.60%. Interest expenses grew 16.97% to **KES 14.61Bn** leading to the cost of funds increasing to 3.33% even as the bank's stock of borrowed funds decreased 6.76% to **KES 42.91Bn**. Net interest margins (NIM) increased to 8.55% as Revenue mix remained at **68:32** for NII:NFI similar to FY'20.

- **Asset quality improves:** Gross NPLs decreased 15.90% y/y to **KES 49.73Bn**, leading to the NPL ratio improving to 14.57%, above an industry average of 13.10%, from 18.69% in FY'20. NPL coverage improved to 62.60% mainly underpinned by proactive credit management. We anticipate the continued recovery in the general economy coupled with the bank's diverse loan book to support a further improvement in the bank's asset quality.

Valuation: Despite the declaration of a KES 1.00 dividend and strong results the counter's share price increased by a marginal 0.77% to KES 13.05 from KES 12.95 the previous trading session. . The counter is currently trading below market valuation (PE at 10.40x) with a PE of 4.58x and P/B of 0.89x. However, we remain underweight on the counter given the minimal upside potential.

18th March 2021

Current price: KES 13.05

Target price: KES 14.99

Upside: 14.87%

52 Week High: KES 13.95

52 Week Low: KES 11.60

YTD Performance: 0.77%

EPS (FY'21): KES 2.85

DPS (FY'21): KES 1.00

Co-op 1 Year Share Price Movement



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Outlook

The results were driven by an increase in Interest Income from lending and government securities, as well as non funded income from channels. We take note of the laxity to reduce impairment provisioning against the rest of the industry peers despite a decline in gross NPLs signaling proactive credit management. Future growth will be driven by the bank's focus on SME lending, partnerships and digital channels. Improving economic condition will support asset quality recovery and better performance from subsidiaries will enhance non funded income.

Table 1 : Financial Statement Summary

Income Statement	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Net Interest Income	30.78	31.30	36.35	9.83	18.83	28.67	41.04
Net non-Interest Income	12.89	17.16	17.48	4.52	10.32	15.73	19.40
Total Operating income	43.68	48.46	53.83	14.35	29.16	44.40	60.43
Provision for Impairment	(1.84)	(2.54)	(8.11)	(2.28)	(4.16)	(6.05)	(7.93)
Total Operating expenses	(25.69)	(27.79)	(39.40)	(9.25)	(18.70)	(27.96)	(38.09)
Profit before tax	18.16	20.71	14.28	4.98	10.52	16.48	22.65
Profit after tax	12.73	14.31	10.81	3.46	7.37	11.63	16.54
Core EPS	2.17	14.31	1.84	0.59	1.26	1.98	2.82
DPS	1	1	1	0	0	0	1

Balance Sheet	FY18	FY19	FY20	Q1'21	H1'21	Q3'21	FY21
Government Securities	82.83	119.19	163.02	167.25	183.38	194.75	185.76
Loans and Advances	245.41	266.71	286.63	298.21	301.19	306.32	310.20
Total Assets	413.41	457.01	536.95	552.93	573.01	592.89	579.77
Customer Deposits	306.12	332.82	378.63	393.82	407.69	420.44	407.73
Total Liabilities	342.20	376.15	444.90	458.31	480.41	497.50	479.03
Shareholder's Funds	69.86	79.34	90.73	93.72	92.62	95.04	100.22

Key Ratios	FY'2020	FY'2021	Y/Y change
Yield from interest-earning assets	11.36%	11.60%	0.23%
Cost of funding	3.19%	3.33%	0.15%
Net Interest Margin	8.46%	8.55%	0.10%
Non Perfroming Loans (NPL)	67.53%	67.90%	0.38%
Cost to Income	58.12%	49.91%	(8.21%)
Loan to Deposit Ratio	75.70%	76.08%	0.38%
Return on average equity	12.52%	17.33%	4.81%
Liquidity Ratio	52.20%	53.80%	1.60%
Core Capital/TRWA	13.90%	12.80%	(1.10%)
Total capital/TRWA	15.40%	14.30%	(1.10%)

Source: Company filings, AIB-AXYS



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